1. Reconstruct the niche of Neffke, Otto & Weyh (2017)

Many workers change industry when they change jobs, so labour economists assumed that skills are not tied to one industry. Older relatedness measures (what countries export together, which industries are in the same place, who buys from whom) do not show directly whether two industries need the same skills. Neffke, Otto and Weyh ask: when people change jobs, which industries do they move between, and does this show which industries use similar skills? Using German social security data (1999-2008), they find that workers move along a few fixed paths: industries with only 5% of all jobs take in about 62% of the workers leaving an industry. Their "skill relatedness" measure, built from these moves, predicts regional industry growth better than the older measures, and they made it public.

2. Find 2 journal articles that cite Neffke et al. (2017)

Elekes, Baranowska-Rataj & Eriksson (2023): New outcome and new country. They use the idea to look at people instead of industries. With Swedish data they show that low-paid workers are more likely to get a better-paying job when there are many well-paid jobs nearby that need similar skills, and this holds in smaller regions, not only in big cities

O'Clery & Kinsella (2022): New method. Instead of only counting the industries directly linked to an industry, they look for whole groups of industries that swap workers among themselves ("skill basins") in UK data. The number of jobs inside an industry's own group helps predict how that industry grows in a city.

3. Formulate your own niche on skill-relatedness or labour flows

In my HW1 paper (Chetty et al., 2022), friendships between people from poorer and richer backgrounds were one of the strongest signs of whether poor children get ahead later in life. Neffke et al. mention that job moves can also depend on who you know, but they still treat the flows as a measure of skills. This is the part I would like to look at. Previous work has shown that workers mostly move between industries that need similar skills, and that low-paid workers find better jobs more easily when such jobs are nearby, but we do not know whether these better jobs are open to people who already know someone working there. This matters because if contacts (not only skills) decide who can move up, then retraining alone will not help low-paid workers, and we also need ways to connect them with people in better-paid jobs.

Research question: Are low-paid workers in Hungary more likely to move into a better-paid industry that needs similar skills if some of their former coworkers already work there? And does knowing someone matter more than simply having many such jobs nearby?

4. Data source and who would use it

Data: Hungarian administrative data from the KRTK Databank. Because it shows who worked at the same company at the same time, we can see whether a low-paid worker has a former coworker in a better-paid industry. The same job moves can be used to measure which Hungarian industries need similar skills.

Who would use it: Hungarian policymakers and county development agencies, which run retraining and job-search programmes (for example after a factory closes), and companies opening new plants, which could ask their own staff to recommend people and so reach workers stuck in low-paid jobs.

5. References

Chetty, R. et al. (2022). Social capital I: measurement and associations with economic mobility. Nature 608, 108-121.

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